

Paradiem

The Morning Brief

AUGUST 15, 2026

Cracks Appear

Retail sales miss and UMich collapse cap a CPI-driven record-high week; Hormuz escalation and Bessent isolation package frame Monday's setup.

S&P 500 (FRI CLOSE)	WTI (USO FRI CLOSE)	GOLD (GLD FRI CLOSE)	BITCOIN (LIVE)	FEAR & GREED (CNN)
\$776.34 · ↑0.4% wk	\$126.60 · ↑7.3% wk	\$401.48 · ↑0.8% wk	~\$63,100 · Softer through the week	65 · Greed

SECTION 01

Markets — Week in Review: Cool CPI, Then a Friday Data Bite

RECORD HIGH MIDWEEK FADES ON CONSUMER DATA MISS

The week ran a two-part tape: Tuesday and Wednesday CPI came in at +0.1% MoM headline and +0.2% MoM core per BLS coverage cited by CNBC and Quartz, Thursday PPI printed a soft 0.0% MoM per BLS coverage cited by Yahoo Finance, and the S&P 500 closed at a fresh record near 7,799 Thursday after tapping 7,800 intraday per CNBC and Yahoo Finance coverage. Friday reset the growth read: per Census release coverage on FXStreet and ETF Trends, July retail sales fell 0.6% MoM against a +0.1–+0.3% consensus — the largest monthly drop since May 2025 — with ex-autos ↓0.3% and the GDP-input control group ↓0.4%. Per University of Michigan release coverage on InvestingLive and Quartz, preliminary August consumer sentiment collapsed to 51.0 against a 54.5 consensus and July’s 55.2 final; one-year inflation expectations ticked up to 4.3% per University of Michigan detail. Per data drop, Friday closed the S&P (SPY) at \$776.34 (↓0.20%), Nasdaq (QQQ) at \$731.07 (↓0.14%), Dow (DIA) at \$536.80 (↓0.21%), and Russell 2000 at \$305.09 (↑0.52%). Small-cap outperformance against a soft-data tape argues Friday absorbed the growth miss as a rate-hike-off unwind rather than a broad de-risking event.

S&P 500 (SPY FRI)	\$776.34 · ↑0.4% on the week
NASDAQ (QQQ FRI)	\$731.07 · ↑1.1% on the week
WTI (USO FRI)	\$126.60 · ↑7.3% on the week
BRENT (BNO FRI)	\$50.64 · ↑1.8% on Friday
TLT (20Y FRI)	\$82.04 · ↓0.67% on Friday
BITCOIN (LIVE SAT)	~\$63,100 · De-correlated from soft-data bid
SEPT RATE-HIKE ODDS	~30% · Compressed from ~44% early wk

FED REACTION FUNCTION REBALANCES INTO JACKSON HOLE

The composition of the week’s data leaves Chair Warsh with two competing signals into the August 27–29 Jackson Hole symposium: the cool CPI/PPI supports the disinflation thesis, but sticky one-year inflation expectations (4.3% preliminary August per University of Michigan) and the sharp consumer-sentiment drop introduce a growth-slow-down read alongside the price signal. Per CME FedWatch coverage cited by CNBC and Yahoo Finance, September rate-hike odds compressed from roughly 44% early in the week to roughly 30% by Friday. Per Federal Reserve calendar, July Industrial Production releases Monday August 18 and FOMC minutes release Wednesday August 20 — the last

macro checkpoints before Jackson Hole. The bond tape twisted rather than rallied on the soft data: per data drop, TLT closed ↓0.67% at \$82.04 Friday as the front end compressed on hike-odds unwind while the back end absorbed sticky inflation expectations. For the FCI dividend

sleeve, higher-duration positioning through NEE, ATO, and CEG continues to work in a two-way rate tape; the AI-power complex (CEG, EIX, VST) traded constructively into Friday per data drop.

A record high on cool inflation and a Friday close on a consumer data bite is a composition trade, not a trend trade. Avoid Erosion.

SECTION 02

Geopolitics — Third ADNOC Vessel Attack Sets Up Bessent's Isolation Package

HORMUZ ATTACKS COMPOUND; TREASURY SIGNALS "UNPRECEDENTED" SANCTIONS ROLLOUT NEXT WEEK

Per Al Jazeera, Gulf News, and The National coverage of the Thursday evening incident carried through Friday, two ADNOC vessels were attacked while transiting the Strait of Hormuz — the third and fourth ADNOC vessels struck in roughly one week following the August 8 and August 10 incidents. The UAE and GCC characterized the incidents as piracy and attributed responsibility to Iran. Per Bloomberg and Irish Times coverage of the Friday Treasury statement, Secretary Bessent said the US would roll out an unprecedented economic isolation package for Iran the following week, framed as measures the world had not previously seen. Per Washington Post and CNN Politics coverage, President Trump characterized the roughly 250-day USS Abraham Lincoln deployment as not nearly long enough; the USS George Washington strike group departed Da Nang last week to relieve Lincoln in the Fifth Fleet AOR. Per Kpler data cited by CNN, only 13 vessels transited the strait Thursday — a fraction of the roughly 130 daily transits recorded before the conflict. For the FCI energy sleeve (CVX, CNX, OKE), the sequence extends the physical-friction bid that has framed the crude tape since late February.

ARAMCO CUTS SEPTEMBER OSP AS VLCC RATES APPROACH \$500K/DAY

Per Bloomberg coverage carried into Friday, the benchmark Middle East-to-China VLCC rate approached \$500,000 per day — a level that materially compresses the arbitrage economics for Asian term buyers relative to alternative barrels. Per Reuters and Bloomberg coverage of the Saudi state-oil pricing sheet, Aramco cut its September 2026 Arab Light OSP to Asia by roughly \$2/bbl to a discount versus Oman/Dubai — a defensive move consistent with a posture aimed at retaining Asian term volumes as Hormuz throughput remains constrained. Per S&P Global coverage, Aramco has also asked Asian buyers to submit contingency nominations from ports outside the strait. Per data drop, USO closed ↑1.26% at \$126.60 Friday and BNO closed ↑1.81% at \$50.64, capping WTI proxy up roughly 7.3% on the week. Per Al Jazeera coverage of the Iran–Oman track, Tehran and Muscat have

agreed on geographic coordinates for a proposed safe temporary corridor through Hormuz, but Iranian preconditions include lifting the US naval blockade, withdrawing forces, and permanently ending the conflict — a demand list Washington has not signaled willingness to meet. For FCI, the physical-friction floor under the crude complex tightens as the diplomatic ceiling remains elevated.

SECONDARY THREADS: NETANYAHU, UKRAINE REFINERY CAMPAIGN, AND CRYPTO POLICY SETUP

Per NBC, Al Jazeera, and CNN coverage of the August 9 statement, Netanyahu rejected the Trump 15-point Gaza framework, citing insistence on IDF continuation until Hamas is genuinely disarmed — a sequencing dispute the US framework had layered against a phased international transition. The October 27 Israeli election continues to constrain the Israeli negotiating envelope per CNN analysis.

Per Kyiv Post and RBC-Ukraine coverage of Russian strategic-target updates, Ukrainian strikes hit a refinery in Leningrad Oblast and the Ust-Luga oil port overnight August 13–14, with roughly one-third of Russia’s major refineries reportedly hit in the prior two weeks — a supply-side vector for the global refined-product tape that is separate from the Hormuz story. Per SEC and CryptoDaily coverage, the SEC pulled its scheduled August 14 open meeting on a proposed

tailored offering regime for certain crypto asset investment contracts at the last minute; the proposal remains queued for a subsequent meeting — a policy overhang the FCI digital-asset sleeve (IBIT, ETHA) will absorb into next week. Per data drop, IBIT closed ↓0.70% at \$35.63 Friday and ETHA closed ↓0.35% at \$14.18; live weekend Bitcoin just above \$63,000 per Yahoo Finance coverage extends the softer read.

SECTION 03

On Our Radar

1. Week Ahead — Industrial Production Monday, FOMC Minutes Wednesday, Jackson Hole Aug 27–29. Per Federal Reserve G.17 release schedule, July Industrial Production and Capacity Utilization publish Monday August 18. Per FOMC calendar, the July meeting minutes publish Wednesday August 20 — the record of the July 29 hold and Chair Warsh’s reaction-function framing. Per Kansas City Fed coverage, the Jackson Hole Economic Policy Symposium runs Thursday–Saturday August 27–29, with Chair Warsh’s keynote the primary policy signal. NVDA reports fiscal Q2 Tuesday August 26 per company IR calendar — the single-most-important AI-thesis catalyst on the near-term calendar. Retailer earnings (Home Depot, Walmart, Target, Lowe’s) publish during the week and will inform whether the July retail-sales miss reads as a consumer-inflection or a July-specific pull-forward reversal.

2. Iran Isolation Package Details Expected This Week. Per Bloomberg and Irish Times coverage, Treasury Secretary Bessent's isolation package is expected to be unveiled in detail the week of August 18, with a stated ambition to layer measures the world had not previously seen against an already-active naval blockade. Per Al Jazeera coverage, Iranian officials have said talks with Washington are not proceeding directly and that the corridor arrangement remains conditional. For the FCI energy sleeve (CVX, CNX, OKE), the sanction-design specifics (secondary-sanction perimeter, Chinese refiner exposure, insurance) will determine whether the isolation package adds a discrete physical-friction layer to the crude bid or is priced primarily as a diplomatic signal. Per data drop, LMT closed $\uparrow 1.78\%$ at \$608.68 Friday and GD closed $\uparrow 0.72\%$ at \$395.78 — a defense-sleeve bid consistent with the enforcement-posture stiffening.

3. Bitcoin De-Correlation from Soft-Data Bid Deepens. Per Yahoo Finance coverage of the weekend tape, Bitcoin traded just above \$63,000 and Ethereum near \$1,873; per data drop, IBIT closed $\downarrow 0.70\%$ at \$35.63 Friday and ETHA closed $\downarrow 0.35\%$ at \$14.18. The digital-asset sleeve did not participate in the soft-data-driven rate-hike-off unwind that lifted the metals complex and compressed vol Friday — a de-correlation worth flagging for FCI positioning through IBIT and ETHA. Per SEC and CryptoDaily coverage, the SEC pulled its scheduled August 14 open meeting on a proposed tailored offering regime for crypto asset investment contracts at the last minute; the proposal remains queued and the CLARITY Act Senate cloture setup for September 15 remains the operative legislative catalyst carried in prior briefs.

4. Russia Refinery Campaign Extends the Global Product-Spread Read. Per Kyiv Post and RBC-Ukraine coverage of the August 13–14 overnight strikes, Ukrainian long-range attacks hit a Leningrad Oblast refinery and the Ust-Luga oil port on the Baltic. Coverage attributes roughly one-third of Russia's major refineries as impacted in the prior two weeks — a supply-side vector for the global gasoline and diesel complex that operates independently of the Hormuz story. For FCI energy exposure (CVX, CNX, OKE), the two vectors compound on the product side even as the crude tape trades primarily off Hormuz throughput reads. Per data drop, XLE led the Friday sector tape at $\uparrow 1.39\%$; XLU at $\uparrow 0.61\%$ and XLB at $\uparrow 0.44\%$ followed. XLK lagged at $\downarrow 0.40\%$ and XLV at $\downarrow 0.60\%$ — a rotation read consistent with a soft-data-plus-energy-bid session.

5. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Friday. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Friday's \$775.43–\$778.80 S&P 500 (SPY) intraday range per data drop and now sits approximately 16.8% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With Industrial Production Monday, FOMC minutes Wednesday, retailer earnings across the week, the Bessent isolation package due for detail rollout, Jackson Hole the following Thursday, and NVDA reporting Tuesday August 26, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-day gap.

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